

2 - Portfolio analysis (Boston Matrix recap)

Flipped learning - Please watch the short video and read the notes provided (below) before the start of the lesson



Do Now

You covered this topic in year 12 (1.3.5)

Attempt to answer all the quiz questions from the link below:

<https://www.tutor2u.net/business/reference/boston-matrix-revision-quiz>

Take a screengrab of your mark and post it in the space below



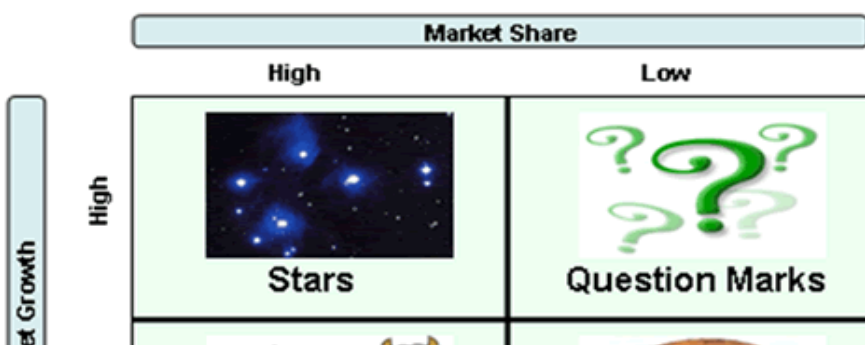
Learning Outcome

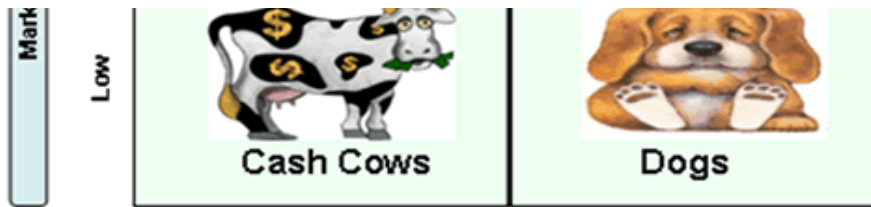
By the end of the lesson you will be able to explain the purpose and use of the Boston Matrix in portfolio analysis.

To Know



- I can describe the four categories of the Boston Matrix: stars, cash cows, question marks, and dogs.
- I can explain how the Boston Matrix is used to assess a business's product portfolio.
- I can apply the Boston Matrix to real or hypothetical business examples.
- I can analyse how positioning products in the matrix supports strategic decisions (e.g. invest, hold, harvest, divest).
- I can evaluate the advantages and limitations of using the Boston Matrix in portfolio planning.





How does the Boston Matrix work?

The four categories can be described as follows:

Stars are high growth products competing in markets where they are strong compared with the competition. Often Stars need heavy investment to sustain growth. Eventually growth will slow and, assuming they keep their market share, Stars will become Cash Cows

Cash cows are low-growth products with a high market share. These are mature, successful products with relatively little need for investment. They need to be managed for continued profit - so that they continue to generate the strong cash flows that the company needs for its Stars

Question marks are products with low market share operating in high growth markets. This suggests that they have potential, but may need substantial investment to grow market share at the expense of larger competitors. Management have to think hard about "Question Marks" - which ones should they invest in? Which ones should they allow to fail or shrink?

Unsurprisingly, the term **"dogs"** refers to products that have a low market share in unattractive, low-growth markets. Dogs may generate enough cash to break-even, but they are rarely, if ever, worth investing in. Dogs are usually sold or closed.

You Do

Affirmative Checking

Practice exam question

10/22

Extract A

UK pet care market is set to grow

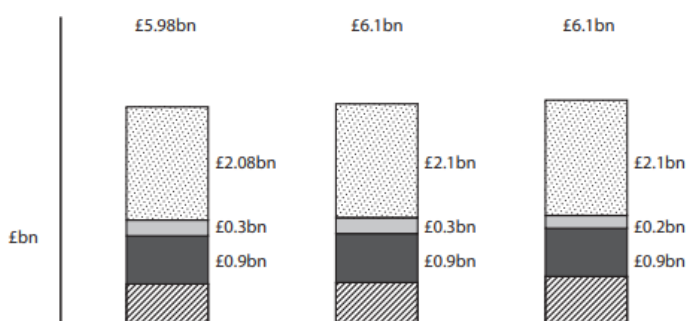
Analysts have predicted steady growth in the UK pet care market. The pet care market includes pet food, pet accessories, pet grooming and veterinary services. The forecast value of this market in 2020–2021 is £7bn. This is due to a large increase in the UK's pet population since the start of the global health crisis.

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Pet accessories such as dog beds have a positive outlook. Sales of pet accessories are expected to grow and exceed £0.9bn by 2021–2022.

Key

-  Pet food
-  Pet accessories
-  Pet grooming
-  Veterinary services



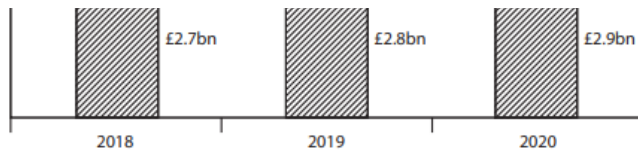


Figure 1: UK pet care market 2018–2020

Extract B

Pets at Home: a pet care destination

Pets at Home is a major retailer of pet care products in the UK. It sells a wide range of pet products online and in its 452 stores.

Pet owners benefit from a range of pet care services. These include pet grooming, veterinary services as well as access to expert pet knowledge and advice from its experienced employees. This allows *Pets at Home* to deliver complete pet care in a way competitors cannot easily copy.

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Selected *Pets at Home* statistics

Product/Service	<i>Pets at Home</i> UK market share 2020	<i>Pets at Home</i> revenue growth 2020–2021
Pet accessories	45%	15%
Pet food	19%	6.6%
Veterinary services	18%	1.6%
Pet grooming	1%	–29.2%

Using Extracts A and B, assess how *Pets at Home* could use portfolio analysis when deciding which products and services to sell.

(12)

Define Key term:	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...

THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion:	Overall, (Directly answer the question asked) This is because... (at least TWO of the following) However, success will depend upon... In the short term/In the long term... It is recommended that ...

